

SECTION 6: AGGREGATE DEMAND AND AGGREGATE SUPPLY

(Note: Despite the fact that the AD-AS model was not explicitly required in the CE and AL syllabuses, in tackling a number of CE/AL questions, the AD-AS framework can still be applied.)

6.1 DEMAND- AND SUPPLY-SIDE FACTORS AFFECTING NATIONAL INCOME

Multiple Choice Questions

1990/CE/II/37

The national income of a country will tend to increase if

- A. the government increases its budget surplus.
- B. the government raises the interest rates.
- C. the government reduces the profits tax rates.
- D. the demand for exports decreases.

1991/CE/II/41

Which of the following is the main reason for the building of a new airport on Lantau Island in the near future?

- A. to solve the problem of the labour shortage in Hong Kong
- B. to improve the infrastructure of Hong Kong
- C. to control the rising inflation rate
- D. to improve the occupational mobility of construction workers

1991/CE/II/45

Which of the following is most likely to lead to a fall in the inflation rate?

- A. an increase in the money supply
- B. an increase in the interest rate
- C. an increase in government expenditure
- D. an increase in indirect tax

1992/CE/II/49

Which of the following can help to control cost-push inflation in Hong Kong?

- A. an increase in indirect tax rates
- B. a significant increase in productivity
- C. a ban on the importation of labour
- D. an increase in the interest rate

1993/CE/II/38

Which of the following government policies will have an expansionary effect on the economy?

- A. increasing the transfer payments by using its fiscal reserves
- B. spending more money on imports
- C. introducing a general sales tax
- D. raising the reserve requirements of commercial banks

1993/CE/II/43

In Hong Kong, inflation at the consumer level has remained at around 10% for the past few years. Which of the following are two possible reasons for this phenomenon?

- (1) a recession affecting western economies
 - (2) the surplus budgetary policy of the government
 - (3) low interest rates for bank deposits and loans
 - (4) an inflow of capital from China
- A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

1993/CE/II/51

An increase in exports and a decrease in imports will cause the national income to

- A. increase
B. decrease
C. remain unchanged
D. either increase or decrease

1997/CE/II/22

It is expected that there will be a record-high number of tourists visiting Hong Kong in the year 1997. This will increase Hong Kong's

- A. GDP.
B. visible trade.
C. net external factor income flows.
D. consumer price index (A).

1997/CE/II/44

Which of the following would have an expansionary effect on the Hong Kong economy?

- A. a raise of the rental of public housing units
B. the sale of existing public housing units to their tenants
C. the introduction of a new tax to suppress speculative activities in the property market
D. an increase in the construction of Home-Ownership-Scheme housing

1997/CE/II/46

Suppose the Hong Kong government spends \$2 billion in the construction of a new highway which is financed by its fiscal reserve. Which of the following would most likely occur?

- A. a narrower wealth gap between the rich and the poor
B. an increase in the employment rate
C. an increase in the inflation rate
D. a budget deficit in the years of construction

2000/CE/II/34

More Hong Kong people shop in Shenzhen and the real interest rate in Hong Kong is increasing and being sustained at a higher level.

Which of the following GDP components of Hong Kong would be least likely affected by the above situation?

- A. domestic consumption (C)
- B. private investment (I)
- C. government expenditure (G)
- D. net export ($X - M$)

2000/CE/II/38

Which of the following would **MOST LIKELY** increase employment during an economic downturn?

- A. restructuring of private firms to improve their efficiency.
- B. increasing computerization and automation of production process
- C. government's injection of a large amount of funds to help small enterprise.
- D. increasing real interest rates

2001/CE/II/30

Which of the following changes would reduce unemployment?

- A. The government introduces a minimum wage law.
- B. The profits tax rate is raised.
- C. Many domestic firms try to use more labour-saving machines.
- D. The demand for the country's exports increases.

2004/CE/II/31

Which of the following is both a demand-side factor and a supply-side factor affecting national income?

- A. the government's productivity-enhancement projects
- B. the government's promotion of tourism
- C. a 'buying local products' campaign
- D. a firework show sponsored by private firms

2005/CE/II/30

Which of the following would result in an increase in Hong Kong's GDP?

- A. The government increases the profits tax rate.
- B. There is a fall in the total export value of Hong Kong made toys.
- C. The government develops the Western Kowloon cultural district.
- D. There are more Hong Kong people traveling in foreign countries.

2006/CE/II/32

Which of the following would most likely raise the potential GDP (i.e., production capacity) of an economy?

- A. an increase in the social welfare benefit
- B. an increase in the reserve ratio of the banking system
- C. an increase in the government expenditure on tertiary education
- D. an increase in the demand for the economy's exports

2008/CE/II/28

If the government constructs the Tuen Mun-Chek Lap Kok Link (屯門至赤鱗角連接路) to link up Shenzhen and the Hong Kong International Airport, the _____ of Hong Kong will increase.

- (1) employment
- (2) actual GDP
- (3) potential GDP

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/27

Country A is an oil-importing country. Which of the following will result in a rightward shift of its short-run aggregate supply curve?

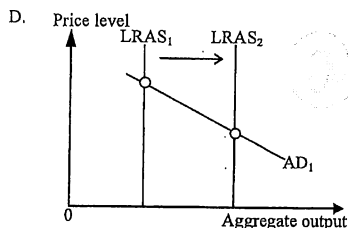
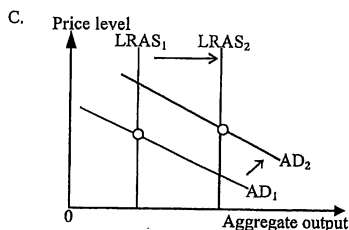
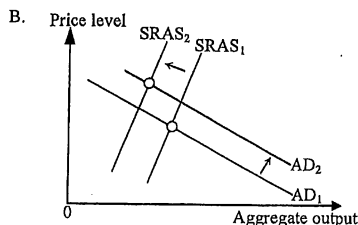
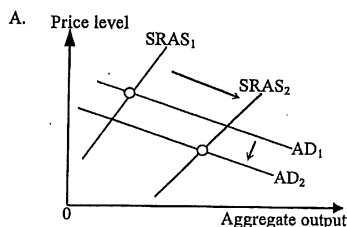
- A. All oil-exporting countries decide to increase the daily production of oil.
- B. Extreme cold weather sharply raises the consumption of oil for heating in Country A.
- C. The government of Country A provides tax relief for research in new energy aiming to lessen the reliance on oil.
- D. An earthquake destroys an oil refinery factory in Country A.

2019/DSE/I/38

The government carried out the following two policies:

Policy one:	Reduce the profits tax rate for corporations with profit less than two million dollars.
Policy two:	Inject fifty billion dollars to develop innovation and technology.

Which of the following AD-AS diagrams could most likely show the effect on aggregate output caused by the above two policies?



2020/DSE/I/27

Which of the following is a reason for a leftward shift of the short run aggregate supply curve in a country?

- A. There is a continuous increase in price level.
- B. The largest market of the country's exports suffers from an economic recession.
- C. More citizens emigrate to foreign countries.
- D. The wages of labour slowly adjust downward due to institutional factors.

2020/DSE/I/35

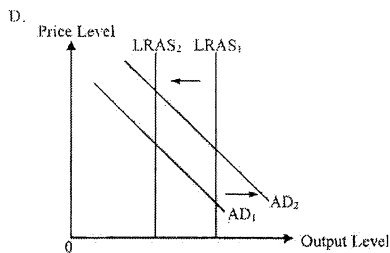
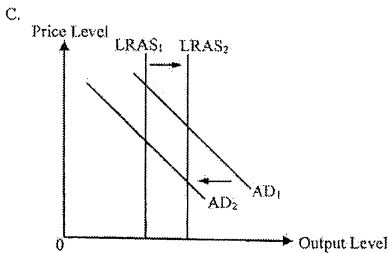
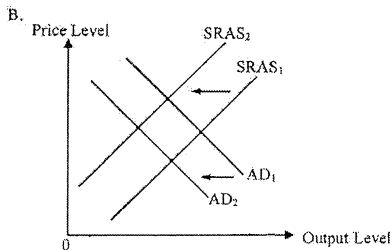
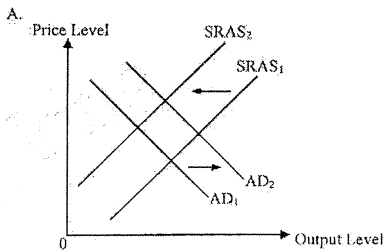
Which of the following policies would offset the effect of an increase in the willingness to invest on the price level?

- (1) an increase in profits tax rate
 - (2) an increase in transfer payment
 - (3) a decrease in tax allowance
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2021/DSE/I/36

Due to the COVID-19 outbreak, most of the flights were cancelled, leading to a significant drop in the number of tourists visiting Hong Kong. At the same time, many employees in Hong Kong were forced to take no pay leave.

Which of the following diagrams can best describe the consequence of the above incidents?



2022/DSE/I/28

Which of the following will result in a leftward shift of the short run aggregate supply curve?

- A. The general price level falls.
- B. The stock market becomes more volatile.
- C. There is a decrease in birth rate.
- D. The transportation cost of raw materials rises.

2022/DSE/II/37

Which of the following may lead to a rise in aggregate output and an improvement in equity in Hong Kong at the same time?

- (1) a charity fund donating HK\$10 billion to set up non-governmental organisations in order to provide services for the underprivileged
 - (2) a cash payout of HK\$10 000 to each permanent resident aged 18 or above by the Government
 - (3) a 1% reduction in the standard tax rate of salaries tax
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

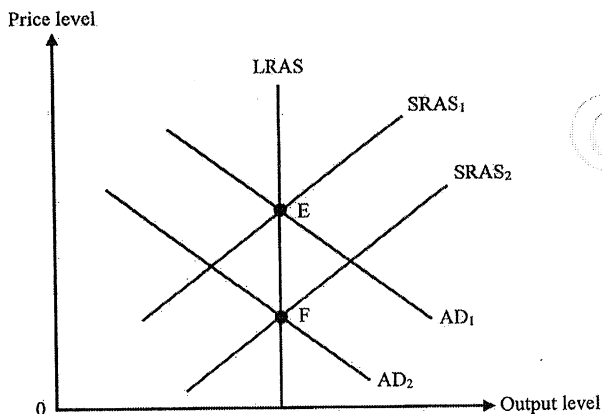
2023/DSE/I/28

Suppose there is a fall in the national income of a country's major trading partner. Which of the following would offset its effect on the aggregate output of the country?

- A. The government increases the amount of tax rebate on salaries tax.
- B. The government imposes stricter quarantine requirements for inbound travellers.
- C. Firms become pessimistic about the economic prospect of the country.
- D. Landlords raise the rent of their office and retail premises.

2023/DSE/I/30

The diagram below shows the aggregate demand (AD) curves, the short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of an economy. The economy initially operates at point E.



Which of the following will result in a change in the long run equilibrium point from E to F?

- A. Households' desire to save increases.
- B. Prices of factor inputs decrease.
- C. The government offers more retraining programmes to workers.
- D. The required reserve ratio decreases.

2025/DSE/I/37

In an economy, a large number of workers migrate overseas together with their family members. In the short run, the price level of the economy _____ and its real output _____.

- A. will rise will fall
- B. will fall may rise or fall
- C. may rise or fall will fall
- D. may rise or fall may rise or fall

Short & Structured Questions

1990/CE/I/3/(b)(i)

Explain how a depreciation of the Hong Kong dollar might lead to a higher inflation rate in Hong Kong. (6 marks)

1990/CE/I/05(b)(ii)

Suppose the Hong Kong government adopts the following tax policies:

Policy A: introducing a 3% sales tax on all commodities

Policy B: cutting down the standard tax rate by 3%

Explain how **EACH** of the above policies affects the general price level. (6 marks)

1992/CE/I/5(c)

It has now been decided that a new airport will be built at Chek Lap Kok

(ii) What is meant by inflation? (2 marks)

(iii) Explain briefly how the construction of the new airport might cause inflation in Hong Kong. (4 marks)

1994/CE/I/10(a)(ii)

A government borrows a large sum of money from foreign countries and spends it on infrastructure. State the benefits of the increase in government spending on the local construction workers and the economy as a whole. (4 marks)

1995/CE/I/9(c)

The World Cup of 1994 was held in the USA. People from all over the world went to the US to watch the matches.

(i) Name any **TWO** demand side factors affecting national income. (2 marks)

(ii) The holding of the World Cup was favourable to the gross domestic product (GDP) of the US. Explain this by referring to the **TWO** demand side factors you mentioned in (c)(i). (6 marks)

1996/CE/I/12(c)

The government has organised a worker retraining programme for the unemployed. Explain, with **ONE** demand side factor and **ONE** supply side factor, the effect of such a programme on Hong Kong's GDP. (5 marks)

1997/CE/1/9(d)(i)

Suppose a general sales tax is introduced to finance the construction of the new railway. Explain the effect of this tax on Hong Kong's price level. (2 marks)

2004/CE/1/10(c)

To lessen the negative effect of SARS on our economy, the government partially rebated the salaries tax to taxpayers. Explain how the tax rebate could lead to an increase in the GDP of Hong Kong. (4 marks)

2005/CE/1/11(a)

Two measures included in the Closer Economic Partnership Arrangement or 'Cepa' are:

- I. Zero tariff on 90% of Hong Kong-made products to the Chinese mainland
- II. Faster / easier market entry to the Chinese mainland for Hong Kong-based service providers in 18 service sectors

As a result, overseas companies not based in Hong Kong can take advantage of Cepa by partnering with a Cepa-qualified manufacturer or service provider in Hong Kong.

Source : Hong Kong SAR Government, 8 January 2005

Explain, separately, how the above two measures would affect the gross domestic product of Hong Kong. (5 marks)

2007/CE/1/8(b)(ii)

The universities in Hong Kong do not only admit local students. Since last year, these universities have begun to admit a large number of top-quality Mainland students. Suppose all students pay the same tuition fees. Suppose these top-quality Mainland students stay and work in Hong Kong after their graduation and the total number of job positions in Hong Kong remains unchanged.

Give **TWO** reasons to explain how this situation would lead to an increase in the potential gross domestic product of Hong Kong. (2 marks)

2009/CE/1/10(a)

The direct cross-strait flights (兩岸直航) between mainland China and Taiwan introduced in 2008 facilitate the trading activities between these two places.

The GDP of Taiwan would probably increase with the introduction of the direct cross-strait flights. With reference to **TWO** demand-side factors, explain why there is such a possibility. (4 marks)

2010/CE/1/9(c)

Ocean Park Hong Kong is undergoing a major redevelopment plan. Ocean Park will expand to double the number of its attractions. In addition, Ocean Park is planning three themed hotels (the Spa Hotel, Ocean Hotel, and Fisherman's Wharf Hotel) in the area for an expected increase in visitors.

For each of the following situations explain your answer with reference to **ONE** demand-side factor. Why would the above expansion increase the gross domestic product (GDP) of Hong Kong

(i) during the construction period? (2 marks)

(ii) after the completion of the construction? (2 marks)